

Paradiem 

# The Morning Brief

JULY 20, 2026

## Ninth Night

*A third U.S. service-member death and a ninth consecutive night of strikes push Brent above \$90 into a Fed blackout week and pivotal Big Tech prints.*

|                                           |                                                |                                                  |                                              |                                                                              |
|-------------------------------------------|------------------------------------------------|--------------------------------------------------|----------------------------------------------|------------------------------------------------------------------------------|
| S&P 500 (FRI)<br><b>\$743.29 · ↓0.99%</b> | BRENT (SUN FUTURES)<br><b>~\$90.11 · ↑2.0%</b> | BITCOIN (LIVE MON)<br><b>~\$64,245 per Yahoo</b> | WTI (SUN FUTURES)<br><b>~\$84.13 · ↑2.0%</b> | FEAR & GREED<br><b>CNN 37 Fear · data drop returned crypto fallback (29)</b> |
|-------------------------------------------|------------------------------------------------|--------------------------------------------------|----------------------------------------------|------------------------------------------------------------------------------|

### SECTION 01

## Markets — Sunday CME Reopen Prints Oil Higher on the Third U.S. Casualty; Equity Futures Diverge as Traders Look Past the Escalation Toward Big Tech Earnings and the Fed Blackout

### OIL REOPEN ABSORBS THE WEEKEND CASUALTY NEWS; EQUITY FUTURES STAY CONTAINED

Per CNBC coverage of Sunday-evening futures, Brent September contracts advanced roughly 2.0% to \$90.11 and WTI August rose about 2.0% to \$84.13 as the CME complex reopened following CENTCOM's announcement of a third U.S. service-member killed and the ninth consecutive night of U.S. strikes on Iran. Notably, S&P 500 futures held near +0.14% and Nasdaq futures +0.08% into the Asian session per CNBC, suggesting that positioning going into Big Tech earnings this week is competing with the escalation premium. The divergence — oil bidding, equity futures shrugging — is a signal worth watching: if Monday's cash tape confirms, it would suggest institutional flows are treating the Iran cadence as sustained-elevated but not accelerating. For the FCI Upstream sleeve, Friday already delivered CVX ↑1.91% to \$187.38 and OKE ↑0.56% to \$93.52 among the top FCI movers; the Sunday reopen framing suggests further follow-through is possible if Brent holds above \$90 into the cash open.

### THE CHIP COMPLEX ENTERS A CONFIRMED BEAR MARKET JUST AS ALPHABET, TESLA, AND INTEL PREPARE TO REPORT

Per Bloomberg coverage, the PHLX Semiconductor Index (SOX) closed 20.2% below its June 22 record high on Friday July 17, formally entering bear-market territory after a 105% run off its March low. The immediate catalyst cited was the Friday debut of Kimi K3 from Chinese startup Moonshot, a 2.8-trillion-parameter model with a 1M-token context window that traders have interpreted as pressure on the AI capex-to-margin case. Marvell, ARM, and Intel are among names down more than 30% from their peaks per Bloomberg.

Per data drop, Friday's tape captured the give-back across the FCI Growth-Hybrid sleeve: TSM ↓2.77% to \$398.37, NVDA ↓2.21% to \$202.81, LRCX ↓2.39% to \$313.30, NXPI ↓1.53% to \$266.53. Alphabet and Tesla report Wednesday July 22 after the close per CNBC, followed by Intel Thursday July 23 — a sequence that will directly test whether the merchant-silicon absorption thesis is holding or whether the SOX drawdown has more work to do. **Research Reveals Opportunities.**

|                          |                                                                   |
|--------------------------|-------------------------------------------------------------------|
| SPY (FRI)                | <b>\$743.29 · ↓0.99% · ↓1.5% weekly per Yahoo</b>                 |
| NASDAQ (FRI)             | <b>\$695.33 · ↓1.50% · ↓2.9% weekly per Yahoo</b>                 |
| UVXY (FRI)               | <b>\$25.44 · ↑8.81% per data drop</b>                             |
| BRENT SEPT FUTURES (SUN) | <b>~\$90.11 · ↑2.0% per CNBC</b>                                  |
| WTI AUG FUTURES (SUN)    | <b>~\$84.13 · ↑2.0% per CNBC</b>                                  |
| PHLX SEMI INDEX          | <b>20.2% below June 22 record · bear market per Bloomberg</b>     |
| FED BLACKOUT             | <b>Begins today thru July 28–29 FOMC per Fed schedule</b>         |
| CARSON'S SPY SUPPORT     | <b>\$645.80 active · far from Fri range<br/>\$740.80–\$747.29</b> |

**FED COMMUNICATIONS BLACKOUT BEGINS TODAY;  
COMMITTEE ENTERS MEETING WEEK WITH A FRESH OIL  
SHOCK LAYERED ON WARSH'S INFLATION-FIRST STANCE**

Per Federal Reserve schedule, the pre-FOMC communications blackout runs from today through the July 28–29 meeting, meaning the committee's decision framework will be

shaped almost entirely by incoming data and the geopolitical backdrop rather than by additional Fed-speak. Per CME FedWatch coverage cited by Chase, the probability of a hold at 3.50–3.75% sits near 89%, while Semafor coverage places year-end hike probability around 36% (up from 18% on July 2). Chair Warsh's July 14 testimony framed the softer June CPI as a single data point and pledged to end five years of elevated inflation per CNN Business coverage, and he declined to offer forward guidance on the next meeting per Federal Reserve testimony transcript. For the FCI Dividend sleeve, the higher-for-longer framing tends to support cash-flow-generative defensive names, though Friday's tape showed broad-based de-risking rather than a defensive bid: XLP ↓0.72%, XLV ↓0.44%, XLRE ↓0.09% per data drop. June PCE prints Thursday July 30 per BEA release schedule — the meeting-week read that will frame the September dot debate. **Simpli-city Over Complexity.**

*The Sunday reopen concentrated the escalation premium in oil while equity futures held contained; the Fed blackout begins today and Big Tech earnings arrive Wednesday, meaning this week's tape will price the escalation cadence against the AI capex debate. Research Reveals Opportunities.*

## Geopolitics — Third U.S. Service-Member Death Confirmed as U.S. Enters Ninth Consecutive Night of Strikes; Iran's Foreign Minister Signals Openness to Negotiations

### CENTCOM CONFIRMS THIRD FATALITY; U.S. STRIKES WIDEN TO COASTAL AND NORTHERN IRANIAN CITIES OVER THE WEEKEND

Per Fox News and CNN coverage, CENTCOM confirmed a third U.S. service-member killed in action from the recent Al-Azraq base attack in Jordan and reported unidentified remains found at the site, bringing the total U.S. military death toll to 17 since the conflict began in February. Per Al Jazeera and CNN coverage, U.S. forces conducted an eighth consecutive night of strikes Saturday and launched a ninth wave overnight Sunday into Monday, hitting Tabriz in northwestern Iran, the coastal cities of Chabahar and Konarak on the Gulf of Oman, Bandar Mahshahr and Bandar Imam Khomeini on the Persian Gulf, Jask and Sirik along the Strait of Hormuz, and the port city of Bushehr. Per Al Jazeera coverage citing Iranian authorities, at least 50 people have been killed and more than 500 wounded in U.S. strikes over the past three weeks; U.S. strikes have widened to include civilian infrastructure such as bridges and desalination plants. Per IRGC statements cited by Al Jazeera, two commercial oil tankers were struck and immobilized in the Strait of Hormuz over the weekend after attempting to transit what Iran declared an unsafe route. For the FCI Upstream sleeve, the widening target set — particularly the strikes on Bushehr, Bandar Mahshahr, and Bandar Imam Khomeini — represents an intensification of the disruption to Iranian export infrastructure and reads through directly to the Sunday oil futures gap higher. Per data drop, Friday's FCI Upstream cohort captured CVX  $\uparrow 1.91\%$  (\$187.38) and OKE  $\uparrow 0.56\%$  (\$93.52) among the top movers; the widening theater and further strikes overnight suggest that follow-through into Monday's cash tape is likely if positioning does not preempt. **The physical world matters.**

### IRANIAN FOREIGN MINISTER ARAGHCHI SIGNALS OPENNESS TO NEGOTIATIONS — A NOTABLE RHETORICAL SHIFT AGAINST A BACKDROP OF CONTINUED RETALIATION

Per Al Jazeera and Times of Israel coverage, Iranian Foreign Minister Abbas Araghchi indicated over the weekend that Tehran would need to negotiate if a decisive military outcome is not achievable, though he framed talks as appropriate only from a position of Iranian strength. This is a notable rhetorical shift from Tehran, coming alongside continued IRGC retaliation against U.S. and allied assets in Syria, Kuwait, and Bahrain per Times of Israel coverage. Per CNN coverage, Iran launched missiles at Aqaba, Jordan, three of which were intercepted by Jordanian air defenses; a fourth landed in a remote area. The pattern — escalated kinetic activity combined with an emerging diplomatic opening — is consistent with historical late-stage conflict dynamics where both sides seek maximum battlefield leverage ahead of any talks. For the FCI Defense sleeve, LMT closed Friday at \$508.77 ( $\downarrow 0.93\%$ ) and GD at \$368.58 ( $\downarrow 0.07\%$ ) per data drop; the program-timeline overhang continues alongside the sustained escalation bid, and the diplomatic wildcard could

compress the tail risk in either direction depending on how the coming days unfold. If negotiations gain traction, some of the compressed risk premium in oil could unwind; if the rhetorical shift is dismissed by Washington, the escalation cadence could intensify further. **Think Like an Owner.**

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|--------------------------|-----------------------------------------------------------------------------------------|
| U.S. KIA THIS WEEKEND    | <b>3 killed · total 17 since February per CENTCOM/CNBC</b>                              |
| U.S. STRIKE CADENCE      | <b>9 consecutive nights per Al Jazeera/CNN</b>                                          |
| IRANIAN CASUALTIES       | <b>50+ killed, 500+ wounded past 3 weeks per Iranian authorities via Al Jazeera</b>     |
| HORMUZ TANKER ATTACKS    | <b>2 tankers struck and immobilized per IRGC via Reuters</b>                            |
| HORMUZ TRAFFIC           | <b>~11% of pre-crisis volume per CNBC (July 12)</b>                                     |
| IRANIAN FM SIGNAL        | <b>Openness to negotiations if absolute military victory unavailable per Al Jazeera</b> |
| IRAN MISSILE AT JORDAN   | <b>Aqaba targeted · 3 intercepted · 1 landed in remote area per CNN</b>                 |
| IRGC RETALIATION TARGETS | <b>Syria, Kuwait, Bahrain per Times of Israel</b>                                       |

**1. Week Ahead — STLD Post-Market Tonight; Alphabet + Tesla Wednesday; Intel Thursday; FOMC July 28–29; PCE July 30.**

STLD reports Q2 post-market tonight per Steel Dynamics investor coverage; company guidance sits at \$3.51–\$3.55 per diluted share versus Q1's \$2.78 and prior-year Q2's \$2.01, with analyst consensus around \$3.68 per Benzinga. Order backlog is nearly 40% higher year-over-year and extends into 2027 per Investing.com, and STLD repurchased \$170M of stock in Q2. Alphabet reports Wednesday after the close with consensus revenue of roughly \$101B (Bank of America projects \$102.1B on Cloud growth per TipRanks); Tesla reports the same day with Wall Street expecting \$0.52 EPS on \$25.99B revenue after record Q2 deliveries of 480,126 units and 13.5 GWh in storage per TradingKey. Intel reports Thursday July 23. Together the week frames whether the hyperscaler AI capex justifies the current supplier-cohort multiples, or whether the SOX bear-market signal (per Bloomberg) extends further. FOMC July 28–29 (no SEP) with CME FedWatch ~89% hold probability per Chase. *Research Reveals Opportunities.*

**2. Hormuz Chokepoint — Two Tanker Strikes Over the Weekend; Traffic at ~11% of Pre-Crisis Volume.** Per IRGC statements cited by Reuters, two commercial oil tankers were struck and immobilized in the Strait of Hormuz over the weekend after attempting to transit what Iran declared an unsafe route. Per CNBC coverage, transit through the strait had fallen to roughly 11% of pre-crisis volume as of July 12, and war-risk insurance for tankers is running at approximately 8× pre-crisis rates. For the FCI Upstream sleeve, the persistent chokepoint disruption alongside the widening U.S. target set on Iranian coastal infrastructure suggests the physical premium in Brent remains structurally supported until either negotiations gain traction (per the Araghchi signal) or the strike cadence pauses. Per data drop, CVX led FCI movers Friday at ↑1.91% (\$187.38) with OKE ↑0.56% (\$93.52); CNX Resources closed ↓0.54% at \$33.28 — the FCI natural-gas exposure worth monitoring alongside the LNG-storage-rising framing captured in Reuters coverage of Hormuz floating-storage data. *The physical world matters.*

### 3. Chip-Complex Bear-Market Composition Into Big Tech Prints — SOX ↓20.2% From June 22 High; Kimi K3 Cited as Trigger.

Per Bloomberg coverage, the PHLX Semiconductor Index closed 20.2% below its June 22 record high on Friday, formally entering bear-market territory. Kimi K3 — a 2.8-trillion-parameter multimodal model from Moonshot with a 1M-token context window — was cited as the immediate trigger per Phemex framing. Marvell, ARM, and Intel are down more than 30% from their peaks per Bloomberg. For the FCI Growth-Hybrid sleeve, Friday captured TSM ↓2.77% (\$398.37), NVDA ↓2.21% (\$202.81), LRCX ↓2.39% (\$313.30), and AMD ↓1.03% (\$495.76) per data drop — a broad-based give-back that reflects positioning rather than a fundamental-earnings catalyst. Wednesday's Alphabet and Tesla prints (followed by Intel Thursday) are the near-term test: if hyperscaler capex commentary lands hawkish on AI infrastructure, some of the merchant-silicon absorption thesis could re-rate; if the tone is more cautious, the SOX drawdown has room to extend. Carson's SPY \$645.80 support remains active per levels.json, well-removed from Friday's intraday range of \$740.80–\$747.29 per data drop — no level was hit. *Avoid Erosion.*

### 4. Fed Blackout Begins Today; Meeting-Week PCE the Wildcard.

Per Federal Reserve schedule, the pre-FOMC communications blackout runs from today through the July 28–29 meeting (no SEP scheduled). Per CME FedWatch coverage via Chase, hold probability at 3.50–3.75% sits near 89%; year-end hike probability is around 36% per Semafor. Chair Warsh's July 14 testimony framed the softer June CPI as a single data point and pledged to end elevated inflation per CNN Business coverage, while declining forward guidance on the meeting per the Fed transcript. June PCE prints Thursday July 30 — the meeting-week read that will frame the September dot debate. For the FCI Dividend sleeve, the current backdrop tends to reward cash-flow-generative names in a higher-for-longer environment, though Friday's tape gave back the defensive-rotation composition captured earlier in the week (XLP ↓0.72%, XLV ↓0.44%, XLRE ↓0.09% per data drop). The interaction of the oil shock, the Iran cadence, and the incoming inflation data could push the year-end hike probability materially higher if PCE surprises to the upside. *Simplicity Over Complexity.*

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